POLICY

All Programs

Intentional Program Violation (IPV) is when you intentionally make a false or misleading statement, hide, misrepresent or withhold facts on purpose to receive or continue to receive extra benefits. If we think you committed fraud/IPV, we may hold an administrative hearing, bring criminal charges, or ask you to voluntarily sign a disqualification agreement.

This item explains Intentional Program Violation processing and establishment.

DEFINITIONS

Intentional Program Violation (IPV)

IPV consists of having intentionally:

- Made a false or misleading statement, or misrepresented, concealed or withheld facts; **or**
- Committed any act that constitutes a violation of the Food Assistance Program (FAP), Supplemental Nutrition Assistance Program (SNAP) regulations, or any state statute for the purpose of using, presenting, transferring, acquiring, receiving, possessing, or trafficking of FAP benefits or Electronic Benefit Transfer (EBT) cards.

FAP Only

Misuse

Misuse is the use, presenting, transferring, acquiring, receiving or possessing, theft, or sale of items purchased with FAP benefits or EBT cards that constitutes a violation of any federal or state statute of FAP regulations or program rules for the purpose of administering this program.

Trafficking

- The buying, selling, stealing, or otherwise effecting an exchange of FAP benefits issued and accessed via EBT cards, card numbers and personal identification numbers (PINs), or by manual voucher and signature, for cash or consideration other than eligible food, either directly, indirectly, in complicity or collusion with others, or acting alone; **or**

- The exchange of firearms, ammunition, explosives, or controlled substances, as defined in section 802 of title 21, United States Code, for SNAP (FAP) benefits; **or**

- Purchasing a product with FAP benefits that has a container requiring a return deposit with the intent of obtaining cash by discarding the product and returning the container for the deposit amount, intentionally discarding the product, and intentionally returning the container for the deposit amount; **or**

- Purchasing a product with FAP benefits with the intent of obtaining cash or consideration other than eligible food by reselling the product, and subsequently intentionally reselling the product purchased with FAP benefits in exchange for cash or consideration other than eligible food; **or**

- Intentionally purchasing products originally purchased with FAP benefits in exchange for cash or consideration other than eligible food; **or**

- Attempting to buy, sell, steal, or otherwise affect an exchange of FAP benefits issued and accessed via Electronic Benefit Transfer (EBT) cards, card numbers and personal identification numbers (PINs), or by manual voucher and signatures for cash or consideration other than eligible food, either directly, indirectly, in complicity or collusion with others, or acting alone.

SUSPECTED IPV

IPV is suspected when an overpayment (OP) exists for which all three of the following conditions exist:

- The client failed to report information **or** gave incomplete or inaccurate information needed to make a correct benefit determination, **and**

- The client was clearly and correctly instructed regarding their reporting responsibilities, **and**

- The client has no apparent physical or mental impairment that limits their understanding or ability to fulfill their reporting responsibilities.

IPV is suspected when there is evidence that the client or Child Development and Care (CDC) provider has apparently withheld or misrepresented information for the **purpose** of establishing, maintaining, increasing or preventing reduction of program benefits or eligibility.

FAP Only

IPV is suspected for a client who is alleged to have misused or trafficked FAP benefits.

Reminder: For OPs originally calculated as suspected IPV that are found to be client error (CE) only, the OP period may change and affect the OP amount.

OVERPAYMENT AMOUNT

FIP, SDA, RCA, CDC and FAP

The amount of benefits issued to the client, household, or provider in excess of what the recipient(s) was/were eligible to receive.

FAP Only

If the client error involves **two or more FAP groups** which should have received benefits as one group, determine the error amount by doing the following:

- Add together all the benefits received by each group, **and**
- Subtract the correct benefits for the one combined group.

Trafficking amount for trafficking related IPVs is the value of the attempted or actually trafficked benefits as determined by:

- The court decision.
- The individual's admission.
- Documentation used to establish the trafficking determination, such as an affidavit from a store owner or sworn testimony from a federal or state investigator of how much a client could have reasonably trafficked in that store. This can be established through circumstantial evidence.

IPV DETERMINATION

Family Independence Program (FIP), State Disability Assistance (SDA), Refugee Cash Assistance (RCA), CDC and FAP

The client/authorized representative (AR) is determined to have committed an IPV by:

- A court decision.
- An administrative hearing decision.
- The client/AR signing and dating a MDHHS-826, Request for Waiver of Disqualification Hearing, or MDHHS-830, Disqualification Consent Agreement, or other overpayment and disqualification agreement form.

Note: A signed and dated MDHHS-4350, IPV Repayment Agreement, alone **does not** determine IPV.

FIP Only

IPV disqualifications for the program formerly known as Aid to Families with Dependent Children (ADC) are to be taken into consideration when imposing subsequent disqualifications for the program now known as the Family Independence Program (FIP)

FAP Only

IPV exists when an administrative hearing decision, signed and dated disqualification agreement or court decision determines FAP benefits were misused or trafficked.

Medicaid (MA) Only

IPV exists when the beneficiary or AR:

- Is found guilty by a court, **or**

- Signs a MDHHS-4350, Intentional Program Violation Repayment Agreement, **and** the prosecutor or the Office of Inspector General (OIG), authorizes repayment in lieu of prosecution, **or**

- Is found responsible for the IPV by an administrative law judge (ALJ) conducting an IPV or debt establishment hearing.

OIG REFERRAL CRITERIA

All Programs

Prudent judgment should be used in evaluating an overpayment for suspected IPV. Consider the following questions when reviewing the case:

- Does the record show that department staff advised the client of their rights and responsibilities?
- Does the record show the client's acknowledgment of these rights and responsibilities?
- Did the client neglect to report timely when required to do so?
- Did the client appear to make false or misleading statements?
- Does the client error meet suspected IPV criteria?
- Does the amount meet the OIG dollar threshold found below?

Suspected IPVs are referred to OIG when:

- From preliminary review, it appears that the overpayment falls within the definition of suspected IPV, **and**
- The total overpayment amount for all programs combined is $500 or more, **or**
- The total overpayment amount for all programs combined is less than $500, **and**
  - The group has a previous IPV, **or**
  - Misuse or trafficking are suspected, **or**
  - It involves concurrent receipt of assistance; see Bridges Eligibility Manual (BEM) 222, **or**
  - The client has had at least two client errors previously, **or**
  - The alleged fraud is committed by a state government employee.

CDC Provider Error Only

Refer overpayments of $500 or more caused by a provider’s intentional false billings or intentional inaccurate statements. Some examples are:

- Failing to bill correctly.
- Receiving CDC payment for care paid by a third party.
- Receiving CDC payment for hours when the child was not in care and the absence was not allowable; see BEM 706.

State Emergency Relief (SER) Only

Suspected IPVs can be combined with FIP, SDA, RCA, FAP and CDC programs to meet the OIG referral threshold of $500. FIS/ES **must** calculate the overpayment amount and period before sending a referral to OIG

FAP MISUSE

Overpayment claims arising from misuse or trafficking of benefits will be the value of the benefits as determined by:

- The individual's admission, **or**
- Adjudication, **or**
- The documentation that forms the basis for the determination. **Such as:**
  - •• Sworn testimony from a federal or state investigator, **or**
  - •• An affidavit from a store owner of how much an individual could have reasonably misused or trafficked. This can be established through circumstantial evidence.

OIG RESPONSIBILITIES

All Programs

Suspected IPV cases are investigated by OIG. OIG will:

- Refer suspected IPV cases that meet criteria for prosecution to the Prosecuting Attorney.

- Refer suspected IPV cases that meet criteria for IPV administrative hearings to the Michigan Office of Administrative Hearings and Rules (MOAHR).
- Refer/return non-IPV cases to the Overpayment Establishment Section (OES).

IPV Hearings

FIP, SDA, RCA, CDC, MA and FAP

OIG represents MDHHS and Michigan Department of Lifelong Education, Advancement, and Potential (MiLEAP) during the hearing process for IPV hearings.

OIG requests IPV hearings when no signed MDHHS-826 or MDHHS-830 is obtained, and correspondence to the client is not returned as undeliverable, or a new address is located.

Exception: For **FAP only**, OIG will pursue an IPV hearing when correspondence was sent using first class mail and is returned as undeliverable.

OIG requests IPV hearing for cases involving:

1. FAP overpayments, misuse, and trafficking related referrals that are not forwarded to the prosecutor.
2. Prosecution of welfare fraud FAP overpayments, misuse, and trafficking related referrals declined by the prosecutor for a reason other than lack of evidence, **and**
   - The total amount for the FIP, SDA, RCA, CDC, MA and FAP programs combined is $500 or more, **or**
   - The total amount is less than $500, **and**
     - The group has a previous IPV, **or**
     - The alleged IPV involves FAP trafficking, **or**
     - The alleged fraud involves concurrent receipt of assistance (see BEM 222), **or**
     - The alleged fraud is committed by a state/government employee.

Excluding FAP, OIG will send the overpayment to the OES to process as a client error when the MDHHS-826 or MDHHS-830 is returned as undeliverable and no new address is obtained.

OIG DISPOSITIONS

All Programs

Referral Rejected

OIG may refer/return an Overpayment Referral to the Overpayment Establishment Section (OES) when the referral does not meet IPV criteria.

OIG may return a MDHHS-834 MIGS, Fraud Investigation Request, as inappropriate or with insufficient information to pursue overpayment as a result of their initial review and screening of the referral.

FIP, SDA, RCA, CDC and FAP

Process the overpayment as client or provider error if:

- Not previously established as a client or provider error, **and**
- There is enough information to determine the OP period and amount, **and**
- It is not due to agency error.

Note: For potential agency errors see Bridges Administrative Manual (BAM) 705.

OIG Closure

OIG may return an investigation disposition indicating investigation closure if it determines IPV evidence does not exist.

FIP, SDA, RCA, CDC and FAP

Process the overpayment as client or provider error if:

- Not previously established as a client or provider error, **and**
- There is enough information to determine the OP period and amount, **and**
- It is not due to agency error.

Note: For potential agency errors see BAM 705.

Prosecutor Actions

The investigation disposition is completed specifying the prosecuting attorney's office action. If the client signed a MDHHS-830, Disqualification Consent Agreement and MDHHS-4350, Intentional Program Violation Repayment Agreement, in lieu of prosecution, see the **IPV ESTABLISHED** section in this item. There is no further administrative appeal after a MDHHS-830 and MDHHS-4350 are signed. The client may appeal to circuit court.

FIP, SDA, RCA, CDC and FAP

Establish the overpayment as client or provider error if:

- Not previously established as a client or provider error, **and**
- Prosecution is declined for lack of IPV evidence, **and**
- OIG did not pursue an IPV hearing, **and**
- There is enough information to determine the OP period and amount, **and**
- It is not due to agency error.

Note: For potential agency errors see BAM 705.

Court Actions

The investigation disposition is completed specifying the action of the court.

If it is determined the client or provider committed an IPV, complete the following steps:

- Initiate restitution as ordered by the court.
- Process the full amount as IPV if the court does not address restitution.
- If the court ordered IPV restitution is less than the overpayment amount, process the remainder as client or provider error.
- **For FIP, SDA**, **RCA and FAP** apply the court-ordered disqualification period **or** the standard disqualification period specified in this item if the court does not address disqualification.

FIP, SDA RCA, CDC and FAP

Process the overpayment as client or provider error if:

- Not previously established as a client or provider error, **and**
- The charges were dismissed for lack of evidence, **and**
- There is enough information to determine the OP period and amount, **and**
- It is not due to agency error.

Note: For potential agency errors see BAM 705.

OIG Administrative Action

FIP, SDA, RCA, CDC and FAP

The investigation disposition is completed when:

- A MDHHS-826 and MDHHS-4350 is obtained from the client.
- An IPV hearing decision is issued.

Exception: If **only** an MDHHS-826 or MDHHS-830 is obtained from the client and a client error overpayment claim was previously established in Bridges an OIG OEA will convert the CE overpayment claim to an IPV overpayment claim.

IPV ESTABLISHED

All Programs

OIG will send all dispositions to the OIG OEA disposition mailbox at MDHHS-OIG-OEA-Disposition@michigan.gov within **14** days of their final disposition. For program overpayments not established in Bridges such as SER and MA, account receivable set up is required. The assigned OIG OEA will forward a copy of one of the following to the Collections Unit mailbox at MDHHS-Collections-Unit@michigan.gov:

- Signed MDHHS-4350, Intentional Program Violation Repayment Agreement.
- MOAHR Administrative Hearing Decision and Order.
- Court Order signed by a judge.

Note: If only page two of the MDHHS-4350 is provided, include a copy of only page one of the MDHHS-1835 MIGS, OIG

Investigation Disposition Report to verify the actual amount of program overpayments.

FIP, SDA, RCA and FAP

IPV findings result in a higher administrative repayment amount of the overpayment **and** member disqualification for the program in which it occurred.

OIG OEA must complete repayment and disqualification actions within 10 days of receipt of the OIG final disposition or signed MDHHS-4350 and MDHHS-830.

DISQUALIFICATION

FIP, SDA, RCA and FAP

Disqualify an active **or** inactive recipient who:

- Is found by a court or hearing decision to have committed IPV.
- Has signed a MDHHS-826 or MDHHS-830.
- If found responsible through an administrative hearing or convicted in court of duplicate receipt of assistance.
- For FAP, is found by MOAHR or a court to have misused or trafficked FAP benefits.

A disqualified recipient remains a member of an active group as long as he lives with them. Other eligible group members may continue to receive benefits.

See BEM 400, BEM 518, and BEM 554 for treatment of the assets and income of disqualified group members.

CDC Providers Only

See BEM 707 for provider disqualifications.

Standard Disqualification Periods

FIP, SDA, RCA and FAP

The standard disqualification period is used in all instances except when a **court** orders a different period; see Non-Standard Disqualification Periods in this item.

Apply the following disqualification periods to recipients determined to have committed an IPV:

- One year for the first IPV.
- Two years for the second IPV.
- Lifetime for the third IPV.

FIP and FAP

Ten-year disqualification for concurrent receipt of benefits if fraudulent statements were made regarding identity or residency; see BEM 203.

CDC Providers Only

See BEM 707 for disqualification periods.

Nonstandard Disqualification Periods

FIP, SDA, RCA and FAP

Courts may order nonstandard disqualification periods. Apply the court ordered period.

If the court does not address disqualification in its order, the standard period applies.

Periods Shorter Than Standard

Periods of at least one month, but shorter than the standard period specified are entered on Bridges like the standard period.

When zero disqualification is ordered for a recipient do not enter on Bridges.

Disqualified Grantee

FAP Only

A disqualified member may continue as the grantee **only if** there is no other eligible adult in the group.

When the grantee in a joint FIP/SDA/RCA and FAP case is disqualified for FAP, open the group's FAP under a **separate case number if**:

- There is another adult in the FAP case, **and**
- The disqualified member remains the FIP/SDA/RCA grantee.
- Continue a joint FIP/SDA/RCA and FAP case under a **single case number** after the grantee's FAP disqualification **if** the other adult FAP member becomes the grantee for both groups.

FAP Program Violations

FAP Only

Courts order FAP program disqualifications for misuse or trafficking of program benefits; see BEM 203 for more information.

Apply disqualification periods when a recipient is convicted by a state or federal court, as follows:

- Two years when the recipient has been convicted of trading FAP to acquire illegal drugs.
- Lifetime period when the recipient has been convicted of:
  - Trading FAP to acquire illegal drugs for a second time.
  - Trading FAP to acquire firearms, ammunition or explosives.
  - Trafficking FAP with a value of $500 or more.
- The standard IPV disqualification periods apply to FAP misuse or trafficking convictions less than $500.

The standard IPV disqualification periods apply to FAP misuse or trafficking determinations made by MOAHR or by the client signing an IPV Repayment Agreement.

CLIENT NOTIFICATION

All Programs

Notify the client of IPV repayment and disqualification actions via the DHS-4357, IPV Client Notice. OIG OEAs have 10 days after receiving disposition to initiate repayment and disqualification actions.

Give **adequate notice** when initiating repayment and disqualification as a result of an IPV hearing or when a MDHHS-826, Request for Waiver of Disqualification Hearing, is signed. This applies to active and inactive cases.

Give the individual **timely notice** before initiating recoupment as a result of a court action **unless** the individual also signed a MDHHS-826. This applies to active and inactive cases.

Reminder: All programs in which IPV has been determined such as MA, SER, Services etc., are to be included on the DHS-4357, IPV Client Notice.

CDC Provider Only

See BEM 707 for provider notification.

Hearing Request on DHS-4357

FIP, SDA, CDC and FAP

If the DHS-4357 is returned with a hearing requested, send a copy to MOAHR (see BAM 600). Attach a copy of the signed MDHHS-826 or MDHHS-830 and the MDHHS-4350, court order or hearing decision establishing the IPV. Only hearing requests challenging the overpayment benefit reduction or repayment amount **(not the overpayment amount)** are granted by MOAHR.

Update the overpayment claim status field under *Benefit Recovery, Claim Adjustment* to *Pending Administrative Hearing* form the drop-down.

Note: If an individual withdraws the hearing request or fails to show and the hearing is not rescheduled, update the overpayment claim status field under *Benefit Recovery, Claim Adjustment* to *Standard Recoupment* from the drop-down.

If Michigan Department of Health and Human Services (MDHHS) is **upheld:**

- Update the overpayment claim status field back to *Standard Recoupment* from the drop-down.
- Enter the date of the hearing decision under *Benefit Recovery, Claim Adjustment, Agreement Sign Date.*

- Send a Collection Notice to the individual as renotification of the overpayment claim.

- If warranted, update the *Delinquency Date* under *Benefit Recover, Claim Adjustment* 31 days after the Collection Notice is sent. This is currently a manual process.

If MDHHS is **not upheld:**

- Immediately request a reconsideration/rehearing.

- Act in accordance with the decision and order.

- Decrease the balance under *Benefit Recovery, Claim Adjustment* with *Hearing Decision* as the reason from the drop-down.

Note: CDC providers do not have hearing rights.

INITIATING OVERPAYMENT

FIP, SDA, RCA, CDC and FAP

Initiate the overpayment on the effective date of the DHS-4357 by entering or changing the overpayment claim on Benefit Recovery System (BRS).

Note: If a court or OIG specifies an IPV overpayment amount **less** than the total amount, **and** the difference is **not** due to a calculation error, process:

- The court ordered amount as IPV.
- The remaining balance as a client error.

Active programs are subject to benefit withholding (BW) also known as administrative recoupment (AR) to repay the overpayment. Inactive programs are subject to cash repayment. BRS will automatically send collection notices to inactive cases; see BAM 725.

BRS Entry

FIP, SDA, RCA and FAP

To start benefit withholding/administrative recoupment and other collections on active and inactive FIP, SDA, RCA and FAP programs, take the following actions in Bridges:

- Authorize an IPV overpayment claim for the amount on the MDHHS-1835 MIGS.
- The discovery date for misuse or trafficking-related overpayment claims and any other IPV overpayment claim is determined by the individual's signed and dated disqualification agreement, an IPV hearing request, or prosecutorial referral.
- Enter the current date as the IPV repay notice sent date.

Note: If a client error overpayment claim already exists in Bridges for the same overpayment period:

- Complete an overpayment claim adjustment to reduce the outstanding balance of the client error overpayment claim to zero.
- Authorize an IPV overpayment claim for the outstanding balance of the client error overpayment claim (balance before overpayment claim adjustment).
- The IPV discovery date is the same discovery date as the previously established client error overpayment claim and <u>does not</u> change upon conversion to an IPV.
- If the client error overpayment claim outstanding balance is already zero, an overpayment claim adjustment is not required. Authorize an IPV overpayment claim for the program and amount on the MDHHS-1835 MIGS and **immediately** reduce the IPV overpayment claim balance to zero since the debt has already been paid in full as a client error.

INITIATING IPV DISQUALIFICATION

FIP, SDA, RCA and FAP

All IPV disqualifications must be served immediately. Begin the disqualification the first month after the notice is sent unless the action is untimely; see Untimely Disqualification in this item.

If multiple IPV disqualifications occur in the same program, they are served concurrently or with overlapping periods. If other program disqualifications occur during an IPV period, they are served concurrently with the IPV disqualification.

IPV disqualification periods **cannot** be interrupted, **even if** the person becomes otherwise ineligible.

IPV disqualification from a program, for example FIP, is **not** counted when later determining the IPV disqualification period for a **different** program, for example FAP.

Disqualifications take precedence over penalties; therefore, disqualification resulting in penalties (benefit reductions) must be ended in order to impose IPV disqualifications.

Update IPV Sanctions to remove the disqualified member.

CDC Providers Only

MiLEAP CDC Policy Unit will initiate disqualifications. Local offices should continue to complete and submit the MDHHS-834 MIGS, Fraud Investigation Request, to OIG when it is discovered a provider may be non-compliant with program requirements; see BEM 707.

Standard of Promptness

FIP, SDA and FAP

Send the individual a DHS-4357 within 10 days after the receipt of:

- The investigation disposition indicating IPV was determined.
- The hearing decision that IPV occurred.
- The signed MDHHS-826 or MDHHS-830.

Begin the disqualification the first month **after** the notice is sent.

Untimely Disqualification

FIP, SDA, RCA and FAP

When a disqualification was **not** imposed according to the standard of promptness (above):

- Impose the disqualification for any remaining months.
- Process an agency error overpayment for the benefits issued during the months the person should have been disqualified.

- If the agency error amount is above $250, establish the overpayment claim and notify the individual of this overpayment via the DHS-4358A, B, C and D; see BAM 705.

RESOURCES

FIP

Personal Responsibility and Work Opportunity Reconciliation Act of 1996, P.L. 104-193 of 1996, as amended
1939 PA 280, as amended (Social Welfare Act)
MCL 400.1 et seq.
MCL 400.60
Mich Admin Code, R 400.3129 - 400.3131

FAP

7 CFR 271.5
7 CFR 273.16
7 CFR 273.18
7 USC 2022
Mich Admin Code, R 400.3011
MCL 400.60
MCL 750.300a
Consolidate Appropriations Act, 2021, P.L. 116-260
American Rescue Plan Act of 2021, P.L. 117-2

SDA

Annual Appropriations Act
Mich Admin Code, R 400.3151 - 400.3180

RCA

42 CFR 400.49

MA

42 CFR 431.230(b)
MCL 400.60

CDC

The Child Care and Development Block Grant (CCDBG) Act (42 USC § 9858 et seq.), as amended by the CCDBG Act of 2014 (Pub. L. 113-186).
45 CFR Parts 98 and 99.
Social Security Act, as amended 2016.

CONTACT

MDHHS-OIG-OEA-Policy@michigan.gov - OIG OEA Policy.

Policy-Recoupment@michigan.gov - Overpayment Policy.